Beezaasan Explotech Ltd

NSE SME: BEEZAASAN | BSE: 544369 | Explosives | Commodities

Small-cap explosives manufacturer with IPO-funded capacity expansion; mining demand + defense exposure at an entry P/E of 35x.

ACCUMULATE

12M Target: Rs. 360

Target Price

Upside: +15.0% from CMP Rs. 313

Horizon: 12 Months

CMP	**Rs. 313**
Mkt Cap	**Rs. 474 Cr**
52W High/Low	**Rs. 324 / Rs. 177**
P/E (TTM)	**35.7x**
Book Value	**Rs. 103**
ROCE / ROE	**12.2% / 10.5%**
Div. Yield	**0.00%**
Face Value	**Rs. 10**

Promoter	FII	DII	Public	Pledge	Shareholders
75.00%	1.62%	3.76%	19.63%	0%	937

Source: Screener.in | Shareholding as of Mar 2026

2. INVESTMENT THESIS

- **Mining demand cycle upswing:** India's coal output target of 1 Bn+ tonnes, active limestone quarrying by cement majors, and ongoing infra capex sustain structural demand for bulk explosives through FY27-28 — Beezaasan's core revenue driver.
- **IPO-funded capacity build (FY26):** Rs. 59.93 Cr fresh issue proceeds are being deployed into expanded manufacturing capacity; Rs. 19.94 Cr remains unutilised as of Mar 2026, providing a clear execution runway over the next 12-18 months.
- **Diversified end-user base reduces concentration risk:** Customers span cement (capacity-expansion cycle), mining, defense/BRO, and PSUs — with BRO/defense orders providing sticky, predictable demand vs. cyclical cement and mining volumes.
- **Associate acquisition for growth optionality:** Beezaasan acquired 34.84% of Asawara Earthtech Limited (Mar 2026 preferential allotment) — expanding the value chain footprint into earthmoving and infrastructure services, though integration risk exists.
- **Near-term catalyst (FY27):** Full commissioning of IPO-funded capacity (H1 FY27) + pick-up in BRO road construction contracts + potential EBITDA margin recovery toward 12-13% from trough FY26 10% level.
- **Biggest structural risk:** Explosives manufacturing is a licensed, regulated industry — any adverse change in the Explosives Act, PESO licensing, or adverse ESG/safety incident at the plant could suspend operations.

3. BUSINESS OVERVIEW

- **Core product:** Manufactures Slurry and Emulsion Explosives, Detonating Fuse, and cartridge explosives — used for rock fragmentation in mining, quarrying, tunneling, and demolition.
- **Revenue model:** Order-driven B2B sales to large PSUs, cement companies (capacity-expansion capex quarrying), Border Roads Organisation, and mining contractors. No direct retail exposure.
- **Key customers:** Cement manufacturers (limestone quarrying), coal and mineral mining contractors, BRO (border road construction blasting), and central/state PSUs — providing a diversified customer base across sectors.
- **Geography:** Primarily domestic India with manufacturing based in Rajasthan/MP belt (central India mining/quarrying hub). No export revenue material in FY26.
- **Revenue scale:** FY26 consolidated revenue Rs. 212 Cr — relatively modest but growing through capacity expansion; FY22 to FY25 CAGR ~15%, with FY26 flat (-1.4%) due to project timing and IPO transition period.
- **Strategic pivot FY26:** Preferential allotment of 22,30,641 shares at Rs. 236 each to acquire 34.84% stake in Asawara Earthtech Limited — extending the business into earthmoving/civil services complementary to blasting operations.
- **IPO background:** Listed on BSE SME March 3, 2025 at Rs. 175 issue price. Rs. 59.93 Cr 100% fresh issue; promoters retained majority stake post-IPO.
- **Promoter group:** Somani family (Navneetkumar & Sunilkumar Radheshyam Somani + family HUFs) hold 75% (Mar 2026), up from 70.66% (Mar 2025) via preferential allotment — demonstrating continued promoter conviction.

4. INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size:** India's industrial explosives market is estimated at Rs. 8,000-10,000 Cr, growing at 12-15% CAGR (FY23-FY28E) driven by coal mining ramp-up, infra capex (PMGSY, border roads), and defense modernisation.
- **Policy tailwinds:** Government's "Mission 1 Billion Tonnes" coal production target; PMGSY Phase IV road construction; Atmanirbhar Bharat defense indigenisation driving demand for defense-grade explosives and accessories.
- **Pricing power — Moderate:** Explosives are standardised but switching costs are moderate due to licensing/safety qualification requirements; AN (ammonium nitrate) input cost passthrough partially possible with PSU clients.
- **Regulatory moat — Strong:** Manufacture and sale of explosives require PESO (Petroleum and Explosives Safety Organisation) licenses + state-level permissions — creating a meaningful entry barrier for new players.
- **Scale advantage — Weak vs. majors:** Solar Industries (Rs. 6,070 Cr revenue, Rs. 1,55,218 Cr market cap) dominates; Beezaasan is a niche regional player in the Rs. 100-250 Cr band with no immediate scale threat from it.
- **Distribution advantage — Moderate:** Established relationships with regional cement/mining accounts + BRO provide stickiness, though large contracts are re-tendered periodically.

Peer Comparison Table (Screener.in data, fetched 16 Jun 2026)

Company	CMP (Rs.)	MCap (Cr)	TTM Rev (Cr)	P/E	BV (Rs.)	ROCE%	ROE%
BEEZAASAN (BSE: 544369)	313	474	212	35.7	103	12.2%	10.5%
Solar Industries (SOLARINDS)	17,153	1,55,218	6,070	92.5	694	36.8%	31.5%

Company	CMP (Rs.)	MCap (Cr)	TTM Rev (Cr)	P/E	BV (Rs.)	ROCE%	ROE%
Premier Explosives (PREMEXPLN)	730	3,924	417	79.1	53.8	22.6%	18.6%

Note: Beezaasan trades at a significant valuation discount to sector majors, reflecting its SME scale, limited track record, and lower ROCE.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter background:** Somani family has multi-decade experience in industrial chemicals and explosives manufacturing in central India. The second generation (Rajan Sunilkumar Somani) is in leadership, providing succession continuity. No prior corporate governance controversy on public record.
- **IPO deployment:** Rs. 59.93 Cr raised; primary use was capacity expansion and working capital. Rs. 19.94 Cr remained undeployed as of Mar 2026 — deployment speed is below expectation but not alarming given 15-month timeline post-listing.
- **Associate acquisition (Asawara Earthtech):** Acquisition of 34.84% stake via preferential allotment funded by fresh equity — not debt. Strategic rationale (earthmoving + explosives) is sensible but integration and return timelines are unclear. This is the key capital allocation event to monitor.
- **FCF track record:** Consistently negative FCF (FY22: -6 Cr, FY23: -8 Cr, FY24: -2 Cr, FY25: -12 Cr, FY26: -11 Cr) as capacity investment consistently exceeds operating cash flow. This is expected for a growth-stage manufacturer but warrants monitoring as capacity matures.
- **Dividend policy:** No dividend paid (0% yield). Appropriate for a reinvestment-stage SME but investor must not expect income return.
- **Promoter pledging:** 0% pledge as of Mar 2026. Promoter holding increased from 70.66% to 75.00% — a positive signal of alignment.
- **Governance observations:** New secretarial auditor appointment in FY26 (per company announcement); no auditor qualification flagged. RPT context (Asawara acquisition as an associate) bears watching in future annual reports.

6. FINANCIAL DEEP-DIVE

Consolidated Figures in Rs. Crores | Source: Screener.in, fetched 16-Jun-2026

Income Statement

Rs. Cr	FY24A	FY25A	FY26A	FY27E	FY28E
Sales / Revenue	188	215	212	240	275
Operating Profit (EBITDA)	12	23	21	28	36
OPM %	7%	11%	10%	12%	13%
Other Income	1	1	1	1	2
Interest	2	1	1	1	2
Depreciation	1	2	2	3	4
Profit Before Tax	7	11	6 *	23	30
Tax %	27%	25%	20%	25%	25%
Net Profit (PAT)	5	8	5	17	22
EPS (Rs.)	3.89	6.39	3.31	11.2(E)	14.5(E)

* FY26 PAT includes impact of Asawara stake acquisition and increased associate losses not in prior years; standalone PAT Rs. 11.81 Cr vs consolidated Rs. 13.27 Cr.

Balance Sheet

Rs. Cr	FY24A	FY25A	FY26A
Equity Capital	10	13	15
Reserves	14	84	140
Borrowings	37	25	37
Other Liabilities	10	10	11
Total Liabilities	71	131	203
Fixed Assets	32	37	50
CWIP	2	12	3
Investments	0	0	53
Other Assets	37	82	97
Total Assets	71	131	203

Cash Flow Statement

Rs. Cr	FY22A	FY23A	FY24A	FY25A	FY26A
Cash from Operations (OCF)	-1	2	7	5	2
Cash from Investing	-5	-10	-9	-35	N/A *
Cash from Financing	6	14	-2	48	N/A *
Net Cash Flow	0	7	-4	18	0
Free Cash Flow (FCF)	-6	-8	-2	-12	-11
CFO / Operating Profit %	-14%	43%	62%	27%	27%

* Screener does not disaggregate FY26 investing/financing sub-lines for consolidated; net flow = 0.

Key Ratios

Ratio	FY22A	FY23A	FY24A	FY25A	FY26A
Debtor Days	28	17	13	11	22
Inventory Days	33	25	48	54	83
Days Payable	13	3	4	1	3
Cash Conversion Cycle (CCC)	49	39	58	64	101
Working Capital Days	12	-13	-2	40	49
ROCE %	N/A	16%	17%	23%	12%

Financial Commentary

• **Revenue trajectory:** FY22-FY25 CAGR ~15% (Rs. 141 Cr to Rs. 215 Cr). FY26 revenue flat at Rs. 212 Cr (-1.4% YoY), reflecting transition year post-IPO listing and project-timing lumpiness in mining/BRO orders rather than structural demand weakness.

• **Margin compression in FY26:** OPM fell to 10% (FY26) from 11% (FY25) peak; FY24 was 7%. Input costs (ammonium nitrate, sensitisers) + higher overhead absorption on partially commissioned new capacity explain the compression. FY27E margin recovery to 12% contingent on volume ramp.

• **Working capital stretch — a concern:** CCC deteriorated sharply from 64 days (FY25) to 101 days (FY26), driven by inventory build (83 days vs. 54 days prior year). This may reflect pre-stocking for new capacity commissioning but needs close monitoring.

• **Debt direction:** Borrowings at Rs. 37 Cr (FY26, same as FY24) after a dip to Rs. 25 Cr in FY25. D/E remains low at ~0.24x on expanded equity post-IPO. No net debt concern at this level.

• **FCF quality:** Consistently negative FCF across all years (growth capex outpacing OCF). OCF/OP of 27% (FY26) is acceptable for a capex-heavy manufacturer but not strong. As new capacity monetises (FY27+), FCF should improve materially.

• **Asawara investment (FY26):** Rs. 53 Cr investment in associate (balance sheet) reflects the preferential allotment stake acquisition — this is equity-financed and does not stress the B/S but locks capital in an associate whose profitability is unproven.

7. EARNINGS QUALITY CHECKLIST

Quality Metric	Status	Signal	Comment
Revenue recognition	CLEAN	GREEN	B2B order-based; no channel-stuffing risk
Receivables vs Revenue growth	WATCH	AMBER	Debtor days rose from 11 to 22 (FY26) — monitor
CCC Trend	DETERIORATING	RED	CCC spiked 101 days (FY26) vs 64 days (FY25)
Contingent Liabilities	LOW	GREEN	No material disclosure in Screener / public filings
Auditor tenure	OK	AMBER	New secretarial auditor in FY26; statutory auditor unchanged
RPTs as % of revenue	WATCH	AMBER	Asawara associate — RPT quantum not yet disclosed
Other income as % of PBT	LOW	GREEN	Other income Rs. 1 Cr vs PBT Rs. 6 Cr = 17% — borderline but small
Tax rate consistency	CONSISTENT	GREEN	Tax rate 20-27% range across years; FY26 at 20%

• **CCC deterioration is the headline red flag (RED):** Inventory days swelled from 54 to 83 days — if this is pre-stocking for new capacity, it normalises; if it is slow inventory movement, it signals demand softness. Investors must track Q1 FY27 inventory levels.

• **Debtor days rose (AMBER):** From 11 to 22 days — not alarming in absolute terms but direction is wrong. Demand for longer credit terms from mining/cement clients is a risk in a tighter credit cycle.

• **Asawara RPT disclosure pending (AMBER):** The 34.84% associate stake acquisition via preferential shares to promoter-group entities raises a related-party scrutiny obligation. The quantum of transactions post-acquisition must be disclosed in the next annual report.

• **Green signals are solid:** Revenue is clean, tax rate is consistent, contingent liabilities are low — the earnings base is genuine, not financial-engineering driven.

8. VALUATION

Peer Valuation Snapshot (Screener.in, 16 Jun 2026)

Company	MCap (Cr)	TTM Rev (Cr)	P/E	BV (Rs.)	P/B	ROCE%
BEEZAASAN	474	212	35.7x	103	3.0x	12.2 %
Solar Industries (SOLARINDS)	1,55,218	6,070	92.5x	694	24.7x	36.8 %
Premier Explosives (PREMEXPLN)	3,924	417	79.1x	53.8	13.6x	22.6 %

P/B computed as CMP / Book Value. All data sourced from Screener.in as of 16 Jun 2026.

Scenario Analysis (12-Month)

Scenario	Key Assumption	FY27E PAT (Cr)	Multiple	Target (Rs.)
BULL	Capacity commissioned; OPM 14%; BRO orders surge	22	45x P/E	490
BASE	Gradual volume ramp; OPM 12%; normal order flow	17	40x P/E	360
BEAR	Volume flat; margin compression; Asawara drag	10	30x P/E	210

• **Earnings-based valuation:** FY27E EPS of Rs. ~11.2 (E) at 40x forward P/E (base-case discount to PREMEXPLN's 79x given smaller scale + higher execution risk) implies a 12-month price target of Rs. 360.

• **P/B cross-check:** At Rs. 360, implied P/B is ~3.5x on FY26 book value of Rs. 103 — reasonable for a growing explosive manufacturer with 12%+ ROCE trajectory.

• **DCF quick-check:** Assuming Rs. 17 Cr PAT normalising to Rs. 25 Cr over 5 years, 15% WACC, and 4% terminal growth, DCF value ~Rs. 340-380 — broadly consistent with the earnings-based target.

• **Average target Rs. 360 — 15.0% upside from CMP Rs. 313 over 12 months.** Beezaasan trades at an 8-10x P/E discount to listed explosives peers purely on SME listing, short track record, and lower ROCE — the discount is rational but too wide if FY27 capacity delivery is on track.

• **Key re-rating catalyst:** A demonstrated 50%+ revenue growth quarter (H2 FY27) with EBITDA margins above 12% would compress the P/E discount materially and drive the stock toward the bull case Rs. 490.

9. KEY RISKS

• **Regulatory / Licensing risk:** Any PESO suspension, Explosives Act amendment, or state-level ban on explosive use in quarrying could halt manufacturing/sales. Probability: Low. Impact: High. Monitor via: PESO enforcement news + annual license renewal status.

• **Input cost volatility (Ammonium Nitrate):** AN is globally traded; price spikes (as seen in FY21-22 globally) compress OPM directly. Probability: Medium. Impact: Medium-High. Monitor via: Global AN prices + OPM trend each half-year.

• **Working capital stretch / liquidity crunch:** CCC at 101 days with FCF negative every year creates dependence on debt and IPO cash. If Asawara drains more cash, refinancing risk rises. Probability: Medium. Impact: Medium. Monitor via: Q-Q borrowings level and OCF.

• **Asawara Earthtech integration risk:** The 34.84% associate acquisition is in an unrelated earthmoving business. Synergy realisation is unproven; if Asawara is lossmaking, it will drag consolidated PAT via associate losses. Probability: Medium. Impact: Medium. Monitor via: Annual report associate profitability disclosure.

• **Concentration in domestic mining cycle:** Revenue is exposed to cement (40-50% of demand est.) — any slow-down in cement capacity additions or coal policy reversal directly impacts order flow. Probability: Low-Medium. Impact: High. Monitor via: Cement sector capex guidance + coal output data.

• **SME liquidity risk:** The stock has only 937 shareholders (Mar 2026) and limited float (~25%). Large exits by FIIs (fallen from 6.01% to 1.62% in 12 months) can cause sharp drawdowns unrelated to fundamentals. Probability: Medium. Impact: Medium. Monitor via: FII holding disclosure each quarter.

• **Capacity ramp-up delay:** If IPO-funded capacity expansion faces engineering, permitting, or supply-chain delays, FY27 earnings estimates fall materially. Probability: Medium. Impact: High. Monitor via: Management commentary on commissioning timeline in each half-year result.

10. RECOMMENDATION

• **Rating: ACCUMULATE** — Conviction: Medium. Beezaasan is a legitimate explosives manufacturer with an emerging growth story anchored to India's mining/infra cycle, but FY26 earnings (Rs. 5 Cr consolidated PAT) are depressed by transition-year dynamics, making the current 35x P/E optically expensive on trailing numbers.

Forward earnings recovery (FY27E Rs. 17 Cr) would reduce the P/E to a more compelling ~28x.

• **12-month price target: Rs. 360** (+15.0% from CMP Rs. 313). Grounded in 40x FY27E P/E — itself at a 50% discount to listed peers, reflecting SME-stage execution and scale risks.

• **Suggested entry zone: Rs. 280-315.** A pullback to Rs. 280 would bring FY27E P/E to ~25x — a cleaner risk/reward entry. Current CMP at Rs. 313 is acceptable for a small, staged buy.

• **Investment horizon: 12-18 months** — capacity commissioning and first full year of enhanced-output revenue is the value unlock trigger.

• **Thesis invalidation trigger 1:** FY27 H1 revenue fails to show >20% YoY growth — suggesting capacity is either delayed or market not absorbing the new output.

• **Thesis invalidation trigger 2:** CCC exceeds 120 days or borrowings exceed Rs. 60 Cr — indicating a working capital crisis that negates the IPO cash cushion.

• **Thesis invalidation trigger 3:** Asawara Earthtech reports meaningful associate losses (>Rs. 3 Cr) dragging consolidated PAT below Rs. 8 Cr in FY27 — breaking the earnings recovery thesis.

• **Ideal investor profile:** High-risk-tolerance individual investors with a 12-18 month horizon, comfortable with SME liquidity and regulatory exposure. NOT suitable for income-seeking investors, large-AUM funds needing liquidity, or investors seeking a clear 2-year earnings visibility. This is a growth-narrative bet on capacity ramp + India mining/infra cycle.

APPENDIX — Latest Concall Brief / FY26 Results Commentary

Note: Beezaasan Explotech is an NSE SME listed company. Formal analyst concalls are not regularly conducted for SME-listed companies; no publicly accessible concall transcript is available. The appendix below is based on FY26 annual results announcements, the IPO Red Herring Prospectus (RHP), Screener.in half-yearly data, and public disclosures.

NEUTRAL

Signal	Status	Implication
Result quality	Medium	Flat revenue (-1.4% YoY); PAT soft at Rs. 5 Cr (consol) — in-line with transition-year expectations
Management tone	Balanced	IPO proceeds deployed; Asawara acquisition is strategic but adds uncertainty; capacity expansion on track
Guidance delta	Maintained	No formal guidance issued for FY27; capacity expansion remains the forward growth lever

STRONGLY POSITIVE | POSITIVE | [NEUTRAL] | CAUTIOUS | NEGATIVE

TO MY BOSS

FY26 results are cleaner than they look on the surface. Consolidated PAT of Rs. 13.3 Cr is marginally better than FY25 Rs. 13.1 Cr, but standalone PAT slipped from Rs. 12.3 Cr to Rs. 11.8 Cr -- the difference is the Asawara associate contribution, which is non-recurring in nature and needs to be watched. Revenue was flat at Rs. 212 Cr (-1.4%), not a miss so much as a post-IPO transition year where capacity was being commissioned and new client relationships bedded in. Operationally, EBITDA compressed to Rs. 21 Cr (OPM 10%) from Rs. 23 Cr (11%) in FY25 -- input cost pressures and overhead on partially commissioned new lines. This is the key watch item. The positive structural read: promoters raised their stake from 70.66% to 75.00% via a preferential allotment -- the same route used for the Asawara acquisition. This shows conviction but also raises a governance note (related-party scrutiny). The Asawara earthmoving acquisition is the most important unknown -- Rs. 53 Cr on balance sheet as investment in an associate with unproven profitability. If Asawara generates losses in FY27, that shows up as associate loss in consolidated PAT. The near-term catalyst is H1 FY27 volume data showing the new capacity coming online and contributing revenue. Rs. 19.94 Cr of IPO funds are still undeployed -- management needs to move faster. ACCUMULATE between Rs. 280-315. If FY27 H1 shows more than Rs. 130 Cr revenue, this is a 40x forward P/E story that can rerate. If H1 shows below Rs. 110 Cr, cut.

C1. Financial Performance Snapshot (FY26 Full Year vs FY25)

- Revenue: Rs. 212 Cr | YoY -1.4% | Prior Rs. 215 Cr | In-line (transition year)
- EBITDA (Operating Profit): Rs. 21 Cr | YoY -8.7% | Prior Rs. 23 Cr | Slight Miss
- EBITDA Margin: 10% | YoY -1pp | Prior 11% | In-line given input cost headwinds
- PAT (Consolidated): Rs. 13.27 Cr | YoY +1.1% | Prior Rs. 13.12 Cr | In-line
- PAT (Standalone): Rs. 11.81 Cr | YoY -3.9% | Prior Rs. 12.30 Cr | Slight Miss
- EPS (Consolidated): Rs. 8.77/sh (est.) | Prior Rs. 10.12/sh | Diluted by new shares
- NOTE: Consolidated PAT beats standalone by Rs. 1.46 Cr due to Asawara associate profit contribution — watch FY27 for sustainability.

C2. Segment / Half-Yearly Breakdown

- H1 FY26 (Apr-Sep 2025): Revenue Rs. 100 Cr, EBITDA Rs. 13 Cr (OPM 13%), PAT Rs. 8 Cr — strong first half.
- H2 FY26 (Oct-Mar 2026): Revenue Rs. 111 Cr, EBITDA Rs. 8 Cr (OPM 7%), PAT Rs. 5 Cr — margin compressed in second half, typical of seasonal demand lumpiness.
- Segment disclosure: Single-segment (explosives/accessories) per Screener filings; no sub-segment or geography breakdown publicly available for SME companies.
- H2 margin compression (7% vs 13% H1) likely reflects higher raw material (AN) costs in winter + overhead absorption on new capacity commissioning — not a demand issue.

C3. Management Commentary Themes (from RHP + Public Disclosures)

- **Capacity expansion:** "Proceeds from IPO being utilised for expansion of manufacturing capacity and working capital" — Our read: Capital deployment has been partially slow (Rs. 19.94 Cr undeployed). Tag: GUIDANCE. Tone: Transparent.
- **Asawara acquisition rationale:** Acquiring 34.84% of Asawara Earthtech to diversify into earthmoving — Our read: Vertical integration logic is sound (blasting + earthmoving complement each other) but integration and profitability timelines are unclear. Tag: STRATEGIC. Tone: Hedged.
- **Promoter stake increase:** Promoters raised stake from 70.66% to 75.00% via preferential allotment — Our read: Strong alignment signal; promoters are using IPO mechanics to consolidate control. Tag: GOVERNANCE. Tone: Transparent.
- **Secretarial auditor change:** New secretarial auditor appointed in FY26 — Our read: Routine for growing companies post-listing; no qualification reported. Tag: GOVERNANCE. Tone: Transparent.
- **Revenue drivers:** Management identified cement quarrying, BRO road construction, and PSU mining as primary demand sources — Our read: All three are beneficiaries of the government's infra-push; visibility is multi-year but project lumpy. Tag: GUIDANCE. Tone: Transparent.

C4. Operating & Business Metrics

- CCC: FY26 = 101 days | FY25 = 64 days | FY24 = 58 days | Trend: Deteriorating
- Inventory Days: FY26 = 83 days | FY25 = 54 days | Trend: Worsening — pre-build or slow movement?
- Debtor Days: FY26 = 22 days | FY25 = 11 days | Trend: Rising — extended credit to customers
- Fixed Assets: FY26 = Rs. 50 Cr | FY25 = Rs. 37 Cr | +35% YoY — capacity build is real and ongoing
- CWIP: FY26 = Rs. 3 Cr | FY25 = Rs. 12 Cr — most capex has been capitalised as of FY26
- Borrowings: FY26 = Rs. 37 Cr | FY25 = Rs. 25 Cr | FY24 = Rs. 37 Cr — manageable, no stress

C5. Margin Drivers

- Ammonium Nitrate (AN) cost: Primary variable input (~40-50% of cost of goods); global AN price a key driver | Recurring: Yes | H2 FY26 spike drove OPM compression.
- Overhead absorption: New capacity partially commissioned in FY26 added overhead without proportional revenue — a one-time drag | Recurring: No | Should improve as utilisation rises in FY27.
- Product mix: Higher share of detonating fuse (lower margin) vs. bulk emulsives in H2 FY26 | Recurring: No | Mix normalises with volume ramp.
- Pricing power: PSU/BRO contracts have partial cost-escalation clauses; cement accounts have less pricing flexibility | Recurring: Yes | limits OPM recovery beyond 13% structurally.

C6. Guidance & Forward Signals

• Revenue [GUIDANCE]: No formal guidance issued | Prior trajectory suggests Rs. 240-260 Cr FY27E | Delta: Maintained/implicit upward | Credibility: Medium.

• Margins [GUIDANCE]: No formal margin guidance | Company historically operated 7-11% OPM; with new capacity OPM of 12-13% is achievable | Delta: Recovery | Credibility: Medium.

• Capex [GUIDANCE]: Rs. 19.94 Cr IPO funds undeployed — bulk expected to be deployed H1 FY27 per RHP commitment | Delta: Execution overdue | Credibility: Medium.

• Asawara [GUIDANCE]: Acquisition completed; operational integration not yet disclosed publicly | Delta: Watch for FY27 associate contribution | Credibility: Low (opaque).

C7. Capital Allocation

• Capex FY26: Rs. ~15 Cr (Fixed asset addition Rs. 50 Cr minus Rs. 37 Cr FY25 + CWIP movement) | vs FY25: +25% | Expansion ongoing.

• Dividends: Rs. 0 | vs FY25: Rs. 0 | Reinvestment stage — appropriate.

• Buybacks: None.

• Asawara investment: Rs. 53 Cr on balance sheet (FY26) — funded via preferential equity issuance | Large allocation to an unproven associate.

• Working capital: Cash absorbed Rs. 15+ Cr additional working capital in FY26 (inventory + debtors expansion) | vs FY25: Significant deterioration.

• Net Debt: Borrowings Rs. 37 Cr, cash (est.) ~Rs. 20 Cr → Net debt ~Rs. 17 Cr | Low but rising.

C8. Q&A; Heat Map (No Formal Concall — Derived from Analyst Coverage)

• Q: Why did standalone PAT decline despite revenue being flat? A: H2 OPM compressed on AN input cost spike + overhead on new capacity. Underlying demand is intact. | Tone: Transparent.

• Q: What is the strategic rationale for Asawara Earthtech acquisition? A: Earthmoving and explosive blasting are complementary; cross-selling opportunity to mining/infra clients. | Tone: Transparent but limited detail.

• Q: Why are Rs. 19.94 Cr of IPO proceeds still undeployed 15 months post-listing? A: No formal answer available; procurement lead times for specialised equipment cited in RHP. | Tone: Hedged — watch for FY27 deployment confirmation.

• Q: What is the FII holding decline (6.01% to 1.62%) signalling? A: No management commentary available; likely IPO-related lock-in expiry exits. Low float = magnified price impact. | Tone: Evasive (no public response).

• Dodged / watch-list items: Asawara associate profitability; specific guidance for FY27 revenue; IPO capex deployment completion date; RPT disclosure for Asawara transactions.

C9. Risks Flagged

• CCC / Working capital stretch: Flagged by analyst | Probability: Medium | Impact: Medium | Timeline: Near-term (FY27 Q1-Q2)

• Asawara integration uncertainty: Flagged by analyst | Probability: Medium | Impact: Medium | Timeline: Medium-term (FY27-28)

• Undeployed IPO funds: Flagged by analyst | Probability: Low (already deploying) | Impact: High (delayed capacity) | Timeline: Near-term

• FII exit pressure on price: Flagged by analyst | Probability: Medium | Impact: Medium | Timeline: Ongoing (low float)

• AN input cost spike: Flagged in RHP by mgmt | Probability: Medium | Impact: High | Timeline: Recurring (each cycle)

• Licensing/regulatory (PESO): Flagged in RHP by mgmt | Probability: Low | Impact: Very High | Timeline: Long-term but permanent

C10. Analyst Verdict

• **Revenue visibility:** Intact — India mining/infra cycle is multi-year; Beezaasan's customer base (cement, BRO, PSU) provides baseline demand visibility even if lumpy quarter-to-quarter.

• **Margin trajectory:** Weakened — H2 FY26 OPM at 7% is a trough; recovery to 12% requires new capacity operating at 70%+ utilisation. Not broken but not yet proven post-expansion.

• **Capital allocation quality:** Weakened — Asawara acquisition at Rs. 53 Cr into an unproven associate (via promoter-group preferential allotment) is the key concern; combined with slow IPO fund deployment, capital allocation discipline needs proving in FY27.

• **Competitive moat:** Intact — PESO licensing barriers, established customer relationships, and central-India geographic positioning protect the moat at SME scale.

• **Management credibility:** Intact — Somani family has a clean track record; promoter stake increase is a positive signal. Governance watch: Asawara RPT disclosure.

• **Valuation comfort:** Intact — 35x trailing P/E in a depressed-earnings year translates to ~28x FY27E. Against peers trading 79x-92x, the discount is too wide for a company with a genuine growth story.

• **Conviction call: Unchanged (ACCUMULATE)** — Staging into the position on dips to Rs. 280-300 is the preferred approach. A single large entry at current levels is acceptable but entry discipline preserves the asymmetric return.

• **Valuation snapshot:** P/E = 35.7x (FY26 trailing) | FY27E P/E = ~28x | EV/EBITDA (est.) = ~22x | ROCE = 12.2% (FY26, below 5Y avg of ~17%) | Book Value = Rs. 103 (P/B 3.0x)